Fulfilling the announcement of the Budget of 2010–11, to ***rewrite*** and ***harmonise*** financial sector legislations, rules and regulations the GoI constituted the FSLRC under the chairmanship of Justice (Retd.) B. N. Srikrishna in March 2011 (tenure is 2 years). This had become necessary as the institutional framework governing India's financial sector was built over a century.

There are over 60 Acts and multiple Rules/Regulations in the sector and many of them are decades old, when the financial landscape was very different from what it is obtaining today. Large number of amendments made in in these Acts over time has increased the *ambiguity* and *complexity* of the system.

The Commission would simplify and re–write financial sector legislations, including subordinate legislations, to bring them in line with the requirements of the sector to achieve harmony and synergy among them, making them more coherent and dynamic and help cater to the requirements of a large and fast growing economy in tune with the changing financial landscape in an inter-connected financial world. In the long-term, it would help usher in the *next generation of reforms*, contribute to efficient financial intermediation enhancing the growth potential of the nation. The Commission handed over its report end-March 2013 (see Chapter 11 sub-topic 'Financial Regulators').

Financial Action Task Force (FATF)

The FATF is an inter-governmental policymaking body that has a ministerial mandate to establish international standards for combating *money laundering* and *terrorist financing.* India joined the FATF as its 34th member in June 2010. At present, the FATF has 36 members comprising 34 countries and two organisations (European Union and Gulf Cooperation Council).

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1. Marc Levinson, ***Guide to Financial Markets,*** The Economist, London, 2006, p. 152.
2. V. Raghunathan, ***Stock Exchanges and Investments,*** Tata McGraw-Hill, N. Delhi, 1994, p. 4.